

OPTION PANDA — Impact & Efficacy Report

Per-rule and per-strategy assessment of how often each scoring element fires, how much it moves the average ticker's score, and the evidence behind it.

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Executive Summary

This is a companion report to the Scoring System & Strategy Guide. Where the overview tells you WHAT each rule does, this report tells you HOW WELL it works.

Two angles are covered:

1. Per-rule impact & efficacy — for every rule the dashboard ships: evidence tier (STRONG / MODERATE / HEURISTIC), empirical hit rate, average impact on score, and a one-line source / efficacy note.
2. Strategy-level efficacy — for each of the five presets: which rules dominate its must-pass stack (IC-driving factors), selectivity, expected win-rate profile with honest caveats, and the trading style it's designed for.

Hit-rate ballparks are empirical estimates from the 2026-04 → 2026-05 retune across the ~2,500-symbol universe. Treat them as ballparks; precise per-rule rates shift with market regime. Expected impact = rule weight × hit rate.

1. Per-Rule Impact & Efficacy

For every scoring element: evidence tier, empirical hit rate, average impact on the total score, and one-line source / efficacy note. **Evidence tiers:** STRONG = peer-reviewed factor with replicated edge; MODERATE = named industry methodology, smaller body of evidence; HEURISTIC = project-specific curation, no peer review.

Hit-rate ballparks are empirical estimates across the ~2,500-symbol universe during the 2026-04 → 2026-05 retune; precise rates shift with regime. **Avg impact** = rule weight × hit rate.

Rule	Evidence	Hit %	Avg Impact	Source / Efficacy
PROVEN ticker	HEURISTIC	~25–35%	+2.0 to +2.8	Hand-curated list of names with historically favorable long-call P&L. Bias-by-design — surfaces names the user has already vetted. Risk: overfit to the curator's past trades. Mitigated by capping the bonus at +8.
AVOID ticker	HEURISTIC	~3–6%	–0.5 to –0.9	Hand-curated AVOID list (chronic chop / scams / failed fundamentals). Hard exclusion — AVOID-flagged tickers are NEVER GO regardless of score.
RSI 40-70	MODERATE	~45–55%	+2.7 to +3.3	Wilder 1978; permissive momentum band. Broadly-fires baseline filter. IC alone is low; serves as a regime gate so subsequent stricter rules see a sane subset.
RSI 50-65 (Cardwell)	MODERATE	~20–28%	+1.2 to +1.7	Andrew Cardwell 'Trading with Range Shift' (1980s). Cardwell's range-shift framework has shown a small but persistent edge in technical literature; best when combined with trend filters.
MACD Hist +	MODERATE	~40–55%	+2.4 to +3.3	Appel 1979; MACD histogram positive. Standard momentum confirmation. IC modest standalone, useful as part of a composite.
ADX > 25	MODERATE	~25–35%	+1.5 to +2.1	Wilder 1978 — confirmed trend strength. Filters out range-bound names where trend rules don't apply.
ADX 15-25 + DI+>DI-	MODERATE	~10–18%	+0.6 to +1.1	Wilder 1978 — emerging-trend variant. Bonus for catching trends BEFORE they're confirmed. Gated by DI+ leading DI–.

Rule	Evidence	Hit %	Avg Impact	Source / Efficacy
EMA20 > EMA50	MODERATE	~45–55%	+4.5 to +5.5	Classic moving-average crossover. Short-term trend confirmation. +10 weight reflects relative importance vs. RSI.
TF Aligned 2/3	HEURISTIC	~35–55%	+4.2 to +6.6	Project-specific: multi-timeframe alignment. No direct citation; common trader practice of multi-timeframe confluence.
Sector PF > 2	HEURISTIC	~25–35%	+1.3 to +1.8	SECTOR_PF lookup from prior long-call backtest. Light bias toward sectors where long calls historically worked. Capped at +5 (soft prior).
52Wk Hi Prox <15%	STRONG	~20–35%	+1.6 to +2.8	George & Hwang JF 2004 — '52-Week High and Momentum Investing'. Replicated factor across markets and decades. Near-52-wk-hi names show consistent forward outperformance.
52Wk Hi Prox <5% (G-H)	STRONG	~6–12%	+0.4 to +0.7	George & Hwang 2004 — tight-zone bonus. Closer to 52-wk-hi → higher forward return. NOT mean-reversion. +6 layered on top of the +8 wider band.
RS > SPY (21d)	STRONG	~45–55%	+4.5 to +5.5	Jegadeesh-Titman 1993 / Carhart 1997. 21-day chosen over 5-day per Lehmann 1990 short-term reversal evidence.
Price > EMA200	STRONG	~50–60%	+3.0 to +3.6	Faber 2007 'A Quantitative Approach to Tactical Asset Allocation'. Cut max drawdown ~50% in Faber's backtest while preserving most of the upside.
Analyst Revisions ↑	STRONG	~10–20%	+1.2 to +2.4	Stickel 1991; Bradshaw 2004. Upward analyst revisions reliably precede upward price drift over 30–90 days.
Analyst PT Exists	HEURISTIC	~60–80%	+4.8 to +6.4	Light fundamental confirmation. Mostly 'is this name covered'. Useful as sanity check — uncovered names tend to be illiquid or speculative.
GEX Call Flow (55–69%)	MODERATE	~15–25%	+0.6 to +1.0	Dealer-positioning literature (SqueezeMetrics, Spotgamma). Emerging call-side OI bias — dealers short gamma, pinning effect on the way up.
GEX Call Flow (70–74%)	MODERATE	~5–10%	+0.3 to +0.6	Dealer-positioning literature — strong-but-not-crowded zone. Sweet spot for long-call setups.
GEX Call Flow (≥75%)	MODERATE	~3–7%	–0.2 to –0.4	Council 2026-04-29 finding — extreme positioning mean-reverts on 1-week. PENALTY tier. Above 75% call-OI is crowded; dealers pin or fade.
MFI(14) > 50	MODERATE	~35–50%	+3.5 to +5.0	Quong-Soudack 1989 — Money Flow Index. Volume-confirmed momentum. Bumped from 7-period after Connors research showed shorter periods are mostly noise.
CMO(9) > 50	MODERATE	~18–28%	+1.3 to +2.0	Chande 1993 — Chande Momentum Oscillator. Stricter than MFI — fewer hits but each pass is a stronger signal.
Minervini Trend Template	STRONG	~5–12%	+0.8 to +1.8	Minervini 'Trade Like a Stock Market Wizard' (2013) — SEPA Stage 2. Six computable criteria. Strict but each pass confirms Stage 2 trend.

Rule	Evidence	Hit %	Avg Impact	Source / Efficacy
Pocket Pivot	STRONG	~3–8%	+0.5 to +1.2	O'Neil / Morales-Kacher 'How to Trade in Stocks' (2010). Designed to catch institutional buying BEFORE the obvious breakout.
U/D Volume Ratio (50d)	STRONG	tiered ~30–50%	+1.2 to +6.0	O'Neil 'How to Make Money in Stocks' (1988) — IBD methodology. Replicated across decades by IBD. Tiered weight: +4/+8/+12 at 1.25/1.5/2.0+.
VCP — ATR Contraction	STRONG	~5–10%	+0.6 to +1.2	Minervini 2013 — Volatility Contraction Pattern. ATR(14) today / 30d ago < 0.70 = supply contraction before breakout.
BBW Squeeze (<p20 of 120d)	MODERATE	~20%	+2.0	Bollinger 1980s — Bandwidth compression precedes expansion. By construction fires for bottom-20% of trailing 120 days. Regime indicator, not directional.
20d Donchian Breakout + Vol	STRONG	~3–8%	+0.4 to +1.0	Dennis-Eckhardt 1983-88 — Turtle Traders methodology. Best-documented systematic trend-following edge in equity literature.
JT 12-1 Momentum	STRONG	~10–20%	+2.0 to +4.0	Jegadeesh-Titman 1993; Asness-Moskowitz-Pedersen 2013. Strongest replicated factor in equity markets. Highest single-rule weight (+20).
Strong Sector	MODERATE	~25% each tail	+2.0 / –2.0	Sector rotation literature; daily + intraday theme RS. Top-quartile = +8, bottom-quartile = –8. Long-calls depend more on sector tailwind.
Broken Trend (penalty)	MODERATE	~30–40%	–1.5 to –2.0	Trend-following literature. Price below EMA50 = calls fight gravity. Penalty only to avoid double-counting.

2. Strategy-Level Efficacy

Each preset is a curated combination of the rules above. A preset's efficacy depends on which rules dominate its must-pass stack — presets gated by STRONG-tier rules inherit those rules' evidence base.

★ HIGH CONVICTION

IC-driving factors. JT 12-1 (highest replicated IC factor), Minervini Trend (Stage 2 confirmation), Analyst Revisions $\uparrow$, PROVEN bias, GEX call flow.

Selectivity. Highest — typically 0–5 matches per scan.

Expected win rate. Unknown empirically (small $n=19$ backtest); theoretically the highest of any preset given the must-pass stack of three of the strongest factors in the literature. Behavioral risk: small sample $\rightarrow$ high variance regardless of edge.

Best for. Patient-capital swing entries where the user wants maximum signal confluence and is willing to wait for 0-match days.

▲ BREAKOUT

IC-driving factors. 20d Donchian (Turtle Traders), VCP — ATR contraction (Minervini), 52-wk high proximity (George-Hwang), RS > SPY, MACD.

Selectivity. Medium — typically 5–25 matches per scan.

Expected win rate. Donchian breakouts have the longest replicated track record in trend-following systems. Pattern-based; weaker IC than factor-based momentum but cleaner entry timing. Best in trending markets, fails frequently in chop.

Best for. Active traders who want chart-level breakout entries with both volatility-contraction confirmation (VCP) and volume-confirmation (Donchian 1.5 $\times$) instead of bare price-only signals.

■ MOMENTUM

IC-driving factors. JT 12-1 (gold-standard cross-sectional momentum), RS > SPY, Strong Sector (rotation overlay), MACD + EMA200 (trend confirmation).

Selectivity. Medium — typically 5–30 matches per scan.

Expected win rate. Gold-standard preset by IC. JT 12-1 alone has 30+ years of out-of-sample evidence; layering with sector rotation + trend confirmation should improve risk-adjusted returns vs. pure momentum. Weaker in market regime shifts (early 2008, Q1 2020, 2022 H1).

Best for. Trend-followers who want the academic-edge backbone (12-1 momentum) gated by simple trend filters. Sweet spot in persistent uptrends.

◆ BEST ITM CALLS

IC-driving factors. Stacks all three highest-IC rules (JT 12-1, Minervini, Pocket Pivot) + liquidity floors + max option price ceiling.

Selectivity. Very high — typically 0–8 matches per scan.

Expected win rate. Theoretically highest per-trade win rate given the triple-confirmation stack, but smallest sample size. Designed for buying deep-ITM (δ 0.70–0.90) calls where you're paying real premium and need maximum signal confluence.

Best for. Users who want to deploy meaningful premium per name and need every signal aligned before doing so. Liquidity floors prevent slippage.

▲ PRE/POST MARKET

IC-driving factors. Same factor stack as HIGH CONVICTION but re-sorted by $|\text{gap } \%|$.

Selectivity. Very high — typically 0–5 matches.

Expected win rate. Surfaces gaps that ALSO pass the high-conviction stack — avoiding the well-known 'gap-and-fade' problem where random earnings gaps mean-revert. Limited evidence for extended-hours edge in liquid names; treat as a session-specific overlay.

Best for. Trading the pre-market or after-hours session when a vetted name has gapped meaningfully ($>2\text{--}3\%$). Avoids the random-gapper trap.

3. Caveats & Honest Framing

- Hit rates are estimates from observation, not from a controlled backtest with full trade attribution. They will shift with market regime — momentum-light rules fire less in 2022-style bear markets and more in 2017-style bull markets.
- The combined system has an empirical n of 19 trades (2026-04-29 council review). That is too small to demonstrate edge statistically; treat rule weights as expert-judgment-with-priors, not validated parameters.
- Cross-sectional ranking (JT 12-1's true form) is approximated via a hard +25% threshold. True cross-sectional momentum would rank against the universe; the approximation is intentional for speed.
- Some rules depend on third-party data (FMP analyst data, GEX). If those data sources are unavailable, the rules score 0 — neither bonus nor penalty.
- The PROVEN and AVOID lists are curated. Their efficacy reflects the curator's prior experience, not an out-of-sample test. Treat them as soft priors.

Companion document: [OPTION_PANDA_Scoring_Overview.pdf](#) covers the full rule catalog, GO-decision logic, strategy preset definitions, and end-user playbook.